price for the bonds and the preferred stock, the latter being affected particularly by the temporary suspension of its dividend in 1931. The result was that, instead of showing an increased total value by reason of the presence of senior securities, the company sold in the market at a much lower relative price than the conservatively capitalized American Maize Products. (The latter company showed a normal relationship between average earnings and market value. It should not properly be termed *overconservatively* capitalized because the variations in its annual earnings would constitute a good reason for avoiding any substantial amount of senior securities. A bond or preferred stock issue of very small size, on the other hand, would be of no particular advantage or disadvantage.)

The indication that the A. E. Staley Company was undervalued in January 1933 in comparison with American Maize Products is strengthened by reference to the relative current-asset positions and total resources. Per dollar of net asset values the Staley company was selling only one-third as high as American Maize.

The overdeflation of a speculative issue like Staley common in unfavorable markets creates the possibility of an amazing price advance when conditions improve, because the earnings per share then show so violent an increase. Note that at the beginning of 1927 Staley common was quoted at about 75, and a year later it sold close to 300. Similarly the shares advanced from a low of 33 in 1932 to the equivalent of 320 in 1939.

A Corresponding Example. A more spectacular instance of tremendous price changes for the same reason is supplied by Mohawk Rubber. In 1927 the common sold at 15, representing a valuation of only $300,000 for the junior issue, which followed $1,960,000 of preferred. The company had lost $610,000 in 1926 on $6,400,000 of sales. In 1927 sales dropped to $5,700,000, but there was a net profit of $630,000. This amounted to over $23 per share on the small amount of common stock. The price consequently advanced from its low of 15 in 1927 to a high of 251 in 1928. In 1930 the company again lost $669,000, and the next year the price declined to the equivalent of only $4.

In a speculatively capitalized enterprise, the common stockholders benefit—or have the possibility of benefiting—at the expense of the senior security holders. The common stockholder is operating with a little of his own money and with a great deal of the senior security holder's money; as between him and them it is a case of "Heads I win, tails you